

Private Equity and the Global Market for Corporate Control*

Haruka Takayama[†] Stephen Ross Yeaple[‡]

September 6, 2025

Abstract

Private equity (PE) firms increasingly compete with traditional multinationals (MNE) in the global market for corporate control. Unlike traditional MNE, PE firms are not in the business of developing intangible assets such as new technologies or brand names. Rather, they focus exclusively on intensive, short-term restructuring of management. This paper seeks to clarify how the entry of PE firms into the global market for corporate control has altered the structure of foreign direct investment. We show that the investment patterns of PE firms are distinct from traditional MNE, with PE firms disproportionately entering remote developing countries with poor regulatory environments in relatively tangible asset-intensive industries. We argue that, relative to traditional MNE, the investment behavior of PE firms isolates the role of cross-border management in inducing cross-border acquisitions from the role of the redeployment of intangible assets abroad.

Keywords: Private Equity, Cross-border Mergers and Acquisitions

JEL Classification: F23

*We thank Mira Rim for her excellent research assistance. All errors are our own.

[†]Department of Economics, University at Albany, State University of New York, htakayama@albany.edu

[‡]Department of Economics, Pennsylvania State University, sry3@psu.edu

1 Introduction

Multinationals entering developed country markets are most likely to obtain domestic capacity by acquiring local firms. Economists and policymakers often have different perspectives on whether cross-border acquisitions are in a country’s best interests. Many economists emphasize the potential gains to host countries that stem from the exploitation of synergies in intangible assets such as the improved management of intellectual property and better deployment of brand names. Policymakers often fret about possible inconsistencies between the objectives of foreign managers and domestic policy objectives such as national security and domestic employment.

These concerns are heightened when the foreigner acquiring the domestic firm is a private equity firm. Private equity firms have gained notoriety as aggressive cost cutters that may improve a firm’s performance at the expense of other stakeholders. For instance, they may sharply reduce employment, burden the acquired firm with increased leverage, or reduce output quality. Their share of cross-border mergers is substantial and rising but the precise way their foreign investment strategies differ from other forms of cross-border acquisitions is poorly understood.¹

The goal of this paper is to document the systematic ways in which private equity (PE) firms’ foreign acquisitions differ from those of traditional multinationals (MNE).² A priori, they should differ. MNE in other lines of business, such as manufacturing and services, may acquire foreign firms either to inject better management practices, improved technology, or both into an existing foreign firm. Indeed, MNE are heavily involved in creating intangible assets that can be used simultaneously across their global businesses.³ Unlike traditional MNE, however, PE firms are not R&D intensive and their reason to acquire a local firm is not part of any long-term strategy in a particular market but rather to generate short-term capital gains by reorganizing firms’ operations.

By contrasting the investment behavior of PE firms with firms in other lines of business, such as manufacturing, services, or other financial firms, we can isolate the role of man-

¹According to Pitchbook’s 2024 Annual Global M&A report, private equity buyouts accounted for 35 percent of global M&A activity by deal count in recent years, up from 23 percent a decade ago.

²Following in the spirit of Hymer (1960), the theory of the multinational is that multinationals exist because they own intangible assets that are non-rival geographically: a blueprint for a new product can be used simultaneously in multiple locations. This insight has subsequently been extended (e.g. Nocke and Yeaple (2007, 2008)) to explain why firms engage in cross-border mergers and acquisitions: to exploit synergies in intangible assets in variable supply across countries. We label firms that fit this description “traditional multinationals.”

³In the United States, multinational firms account for well less than one percent of firms but over 75 percent of private R&D expenditures.

agement differences across countries in driving cross-border acquisitions. PE firms typically originate in countries with institutions that foster effective corporate governance.⁴ These same countries, however, also tend to be the most innovative and therefore create the most intangible assets. While traditional MNE will bring better management practices and intangible assets to acquired foreign firms, PE firms bring only management.

Our analysis demonstrates enormous differences in behavior between PE and non-PE firms. We show that while both PE and non-PE firms' investment behaviors follow a gravity equation as in Head and Ries (2008), our coefficient estimates establish that PE firms are much less affected by distance, common language, and colonial history between source and host countries. This is consistent with a model in which PE firms are better able to overcome problems associated with limited information and higher transaction costs. Moreover, institutional shortcomings in target countries associated with poor rule of law and difficult bankruptcy procedures reduce inward acquisitions for traditional MNE but have much more muted effects on PE firms. This also points to PE firms having extraordinary managerial capabilities that help them navigate difficult legal environments relative to traditional MNE.

We find large differences in the industrial composition of PE and traditional MNE. As expected, traditional MNE are much more likely to invest in intangible-intensive sectors in developed countries, as is consistent with an intangible asset-seeking motive for the acquisitions. PE firms, however, do not display this same propensity. Instead, they are much more likely to invest in tangible capital-intensive sectors in developing countries than traditional MNE. Taken as a whole, these results are consistent with a model in which PE firms are exclusively focused on identifying poorly managed firms that they can improve, while traditional MNE are more focused on acquiring intangible assets that interact with their portfolio of intangibles.

Having demonstrated systematic differences in the joint distributions of country and industry characteristics and cross-border acquisition activities for traditional MNE and PE firms, we develop a simple partial equilibrium model that extends Head and Ries (2008) market for corporate control to an environment in which different types of potential acquirers have different comparative advantages with respect to managing different types of acquisition targets. The model gives rise to a structural gravity framework for cross-border flows and allows the relationship between country characteristics to differ flexibly between traditional MNE and PE firms. Importantly, it allows the managerial advantages of different firm types to differ across industries, and countries to differ in their supply of intangible assets. In future

⁴See Bloom and Van Reenen (2007) for evidence on systematic differences across countries in management quality.

iterations of the paper, we will estimate the model using modern techniques for estimating structural gravity.

Our paper expands on a growing literature that seeks to understand the determinants of cross-border acquisitions. Chief among the antecedents of this paper is Head and Ries (2008), who study the frictions that inhibit acquirers from effectively managing foreign target firms. We extend their framework by providing a richer treatment of firm and industry types. Much of the existing literature emphasizes complementarity in assets between acquirers and targets—for example, complementarities between internationally mobile and immobile capabilities (Nocke and Yeaple, 2007) and between production division and entrepreneurial ability (Nocke and Yeaple, 2008). Because acquirers seek such complementarities, they tend to target firms that are highly productive and innovative (Guadalupe et al., 2012) and that possess extensive export networks (Blonigen et al., 2014). More recent work, such as Guadalupe et al. (2024), develops a structural matching model of cross-border acquisitions.⁵ They model traditional MNE that acquire other firms to exploit complementarities in two dimensions: productivity and input scale. Similarly, Takayama (2024) provides a quantification of the welfare implications of foreign takeovers of domestic intangibles in an environment allowing for greenfield investment. Unlike this extensive literature, we highlight differences in M&A strategies between traditional MNE and PE firms. Traditional MNE pursue complementarities by combining better managerial capabilities with their own stock of intangible assets, whereas PE firms rely primarily on their managerial expertise and seek to upgrade the acquired firm’s intangibles through restructuring.

Understanding the role of PE firms and the effects of PE acquisitions has been an important theme in recent literature. Private equity owned firms have superior management practices compared to other firms (Bloom et al., 2015). Leveraging this advantage, PE acquisitions generate total factor productivity (TFP) gains largely through productivity reallocation—i.e., the closures of less productive establishments and the expansion or entry of more productive ones (Davis et al., 2014). Consistent with this mechanism, Herkenhoff et al. (2025) document efficient reallocation of workers across plants, as high-wage workers tend to move toward more productive establishments. Unlike these studies, which primarily focus on domestic outcomes, we examine cross-border M&A by PE firms and contribute to this literature by highlighting the distinct role of PE firms in global corporate restructuring. On the theoretical side, Baziki et al. (2017) develop a model of cross-border acquisitions in which traditional MNE and PE firms differ in their comparative advantages in financing

⁵Our paper shares similarity in terms of its use of a structural gravity framework for cross-border acquisitions with Bradley et al. (2023).

acquisitions and managing remote assets. We complement their primarily theoretical contribution by providing a more thorough and flexible empirical analysis from rich cross-border M&A data.

The remainder of this paper is organized into five sections. Section 2 describes data construction. Section 3 provides a descriptive analysis that contrasts the international structure of cross-border acquisitions by PE firms with those undertaken by acquirers in manufacturing, other financial industries, and services. Section 4 formulates a structural gravity model and discusses the appropriate approaches to estimating it. Section 5 (to be written) reports the results of the estimation and their interpretation. Section 6 concludes.

2 Cross-Border M&A Data

We use data on all completed cross-border deals between 2000 and 2024 from the Orbis M&A database. The dataset provides information on deal dates as well as on acquirers and targets, including their names, countries, industries, and business descriptions. We exclude minority stake acquisitions (those involving less than 50% of the target’s share) to focus on transactions that involve effective control. We further exclude deals in which either the acquirer or the target is located in a tax haven, since in such cases the actual headquarters location cannot be identified.⁶

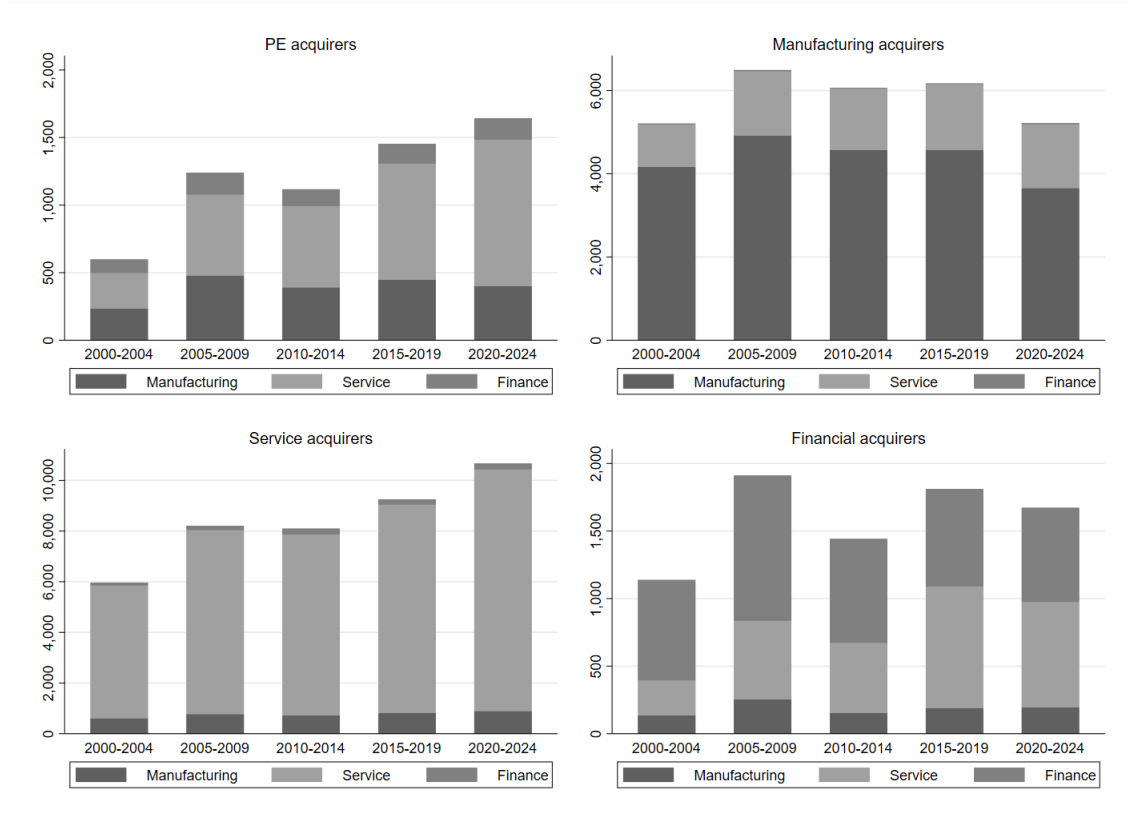
We classify a deal as a private equity (PE) deal if it satisfies at least one of the following conditions: (i) the acquirer’s business description includes the term “private equity,” or (ii) the deal financing indicates “private equity.”⁷ All remaining non-PE deals are categorized into manufacturing, services, and finance based on the acquirer’s primary NAICS industry code. Some deals involve more than one acquirer or target. In such cases, it is not possible to assign a unique country and industry to the transaction, which would compromise the construction of the aggregated dataset. In our sample, 3% of all deals involve multiple targets and 5% involve multiple acquirers, whereas as many as 30% of PE deals involve multiple acquirers.⁸ For PE deals with multiple acquirers, we keep the deal if there is one PE firm and assign the acquirer’s country based on the PE firm’s location. We exclude all other deals

⁶Our definition of tax havens follows Hines Jr and Rice (1994) and Tørsløv et al. (2023). In addition, we classify the following jurisdictions as tax havens based on other sources: Cook Islands, Costa Rica, Curaçao, Dominica, Jordan, Liberia, Maldives, Nauru, Palau, San Marino, Tonga, and Trinidad & Tobago. Notably, 37% of PE deals involve at least one party in a tax haven.

⁷According to the Orbis M&A user guide, private equity is listed as a financing method when the deal involves private equity activity on the acquirer’s side, whether through funding, an MBO, an MBI, or an IBO.

⁸In such cases, PE firms typically partner either with non-PE financial acquirers or with other PE firms.

Figure 1: Number of Transactions by Acquirer and Target Industries



Notes: Each panel reports the number of M&A transactions by the acquirer's industry: private equity, manufacturing, services, or finance. Within each panel, transactions are further classified by the target firm's industry (manufacturing, services, or finance). Since only 0.1% of targets are private equity firms, they are included in the finance category.

with multiple acquirers or multiple targets.

Figure 1 presents the number of M&A transactions by acquirer and target industries over five-year intervals. The four panels correspond to the acquirer's primary industry classification: PE, manufacturing, services, and finance. Within each panel, the stacked bars show the distribution of target industries (manufacturing, services, and finance). The figure highlights two main patterns. First, although the number of PE deals is relatively small compared to other acquirers, PE activity has increased steadily over time, with the exception of the period immediately following the global financial crisis (2010–2014). Second, PE acquirers frequently engage in conglomerate M&A by acquiring targets in manufacturing and services, whereas other acquirers tend to pursue horizontal M&A. For example, the most common target industries for PE acquirers are machinery manufacturing (14%), information and data processing (12%), finance (10%), and professional, scientific, and technical

services (10%). By contrast, the vast majority of acquisitions of manufacturing firms are in manufacturing.

3 Descriptive Analysis

We examine cross-border M&A activity using two types of aggregation. The first focuses on acquirer–target country pairs, while the second focuses on target countries and industries. The following subsections describe each aggregation and present the results of regression exercises. We show that the investment behavior of PE firms in cross-border M&A differs systematically from that of firms in manufacturing and services, which motivates the construction of our structural gravity model and subsequent analysis.

3.1 Bilateral Aggregation by Country Pairs

First, we aggregate cross-border M&A deals by target country, target industry at the NAICS 4-digit level, and acquirer industry (four broad categories: PE, manufacturing, services, and finance). For each cell defined by this aggregation, we count the number of deals and merge with gravity variables such as GDP, GDP per capita, distance, common language, and colonial ties. We obtain GDP and GDP per capita from the Penn World Table, and distance, common language, and colonial ties from CEPII.

We construct the aggregated data as a balanced panel for regression analysis, and there are 142 countries in the sample.⁹ Appendix Table A.1 reports the summary statistics for the variables used in the regressions. Note that there are many zeros in the number of deals, though their prevalence varies by acquirer industry. PE acquirers account for the fewest deals, with only about 3% of cells being nonzero, whereas service acquirers account for the most deals, with around 10% of cells being nonzero. In the regression analysis, we apply the inverse hyperbolic sine (arcsinh) transformation to the number of deals to account for zeros. This transformation approximates the natural logarithm while allowing for zero values.¹⁰

For acquirer country i , target country n , and acquirer industry type f , we run the

⁹Summary statistics indicate that there are 20,020 country pairs in our dataset, which is two fewer than the expected number of country pairs (142×141). This discrepancy arises because CEPII reports Serbia and Montenegro as a single entity, so distance, common language, and colonial ties cannot be observed for the two corresponding country pairs.

¹⁰The arcsinh transformation is defined as $\tilde{x} = \text{arcsinh}(x) = \ln(x + \sqrt{x^2 + 1})$.

following regression:

$$N_{inf} = \alpha \mathbf{D}_{in} + \beta(\mathbf{D}_{in} \times industry_f) + industry_f + \epsilon_{inf},$$

where N_{inf} is the arcsinh-transformed number of deals, α and β are vectors of coefficients, $\mathbf{D}_{in}$ denotes the set of gravity variables, and $industry_f$ represents a dummy variable to indicate the type of industry (either PE or not, manufacturing or not, service or not, and finance or not). The coefficients of the interaction terms between the industry indicator and each of the gravity variables, $\mathbf{D}_{in} \times industry_f$, capture the differential impact of country characteristics on each of the different types of acquirers.

3.1.1 Results with Gravity Variables

The results of the regressions are reported in Table 1. Column 1 presents the specification without interaction terms. We find that cross-border M&A activity is more frequent between larger and more developed economies, as indicated by positive coefficients on population and GDP per capita. In addition, M&A deals are more common between country pairs that share a common language or colonial ties, and less common between more distant country pairs. These results are consistent with Head and Ries (2008), who document that cross-border acquisitions are shaped by frictions in the global market for corporate control.

In columns 2 to 5, we include interaction terms between gravity variables and acquirer industry indicators. For example, in column 2, $industry_f$ equals one if the acquirer is a private equity (PE) firm. The result indicates that gravity variables have weaker effects on M&A activity involving PE acquirers. In particular, the coefficient on the interaction between distance and the PE indicator is positive and statistically significant, suggesting that PE firms are more likely to acquire targets in distant countries than other acquirers. Other coefficients show that PE firms also tend to acquire targets in less developed and smaller countries, and in country pairs that do not share a common language or colonial ties. One possible explanation is offered by Bloom et al. (2015), who show that PE-owned firms have superior management practices compared to other types of firms. Greater managerial ability may enable PE acquirers to overcome frictions in cross-border M&A, such as geographical distance and cultural or institutional barriers.

The regressions in columns 3 and 4 use indicators for acquirers in the manufacturing and service industries, respectively. Much of the existing literature in international trade has focused on these traditional industries. Our results highlight that the acquisition strategies

Table 1: Regressions with Gravity Variables

	arcsinh(Number of deals)				
	All	PE	Mfg	Svc	Fin
	(1)	(2)	(3)	(4)	(5)
pop_i	0.070*** (0.003)	0.083*** (0.003)	0.059*** (0.003)	0.061*** (0.003)	0.076*** (0.003)
pop_n	0.057*** (0.003)	0.069*** (0.003)	0.048*** (0.002)	0.050*** (0.002)	0.063*** (0.003)
$gdppc_i$	0.135*** (0.004)	0.160*** (0.004)	0.120*** (0.004)	0.114*** (0.004)	0.147*** (0.004)
$gdppc_n$	0.099*** (0.004)	0.117*** (0.004)	0.086*** (0.003)	0.084*** (0.003)	0.109*** (0.004)
$language_{in}$	0.113*** (0.016)	0.129*** (0.017)	0.118*** (0.015)	0.091*** (0.014)	0.115*** (0.016)
$colonial_{in}$	0.864*** (0.119)	1.005*** (0.130)	0.838*** (0.118)	0.769*** (0.108)	0.844*** (0.122)
$distance_{in}$	-0.148*** (0.007)	-0.178*** (0.008)	-0.139*** (0.007)	-0.127*** (0.007)	-0.148*** (0.008)
$industry_f$		0.649*** (0.057)	-0.862*** (0.055)	-0.662*** (0.056)	0.874*** (0.048)
$pop_i \times industry_f$		-0.051*** (0.002)	0.042*** (0.002)	0.036*** (0.002)	-0.026*** (0.002)
$pop_n \times industry_f$		-0.045*** (0.002)	0.038*** (0.002)	0.030*** (0.002)	-0.023*** (0.002)
$gdppc_i \times industry_f$		-0.101*** (0.003)	0.062*** (0.003)	0.085*** (0.003)	-0.046*** (0.002)
$gdppc_n \times industry_f$		-0.071*** (0.002)	0.051*** (0.002)	0.059*** (0.002)	-0.039*** (0.002)
$language_{in} \times industry_f$		-0.064*** (0.011)	-0.017* (0.009)	0.090*** (0.011)	-0.009 (0.009)
$colonial_{in} \times industry_f$		-0.565*** (0.080)	0.104* (0.058)	0.379*** (0.070)	0.082 (0.061)
$distance_{in} \times industry_f$		0.121*** (0.006)	-0.035*** (0.005)	-0.085*** (0.005)	-0.002 (0.005)
N	80,080	80,080	80,080	80,080	80,080

Notes: The dependent variable is the arcsinh transformation of the number of cross-border M&A deals. Column 1 reports the baseline specification with the gravity variables. Columns 2–5 report regressions with industry indicators, $industry_f$, equal to one if the acquirer belongs to private equity (PE), manufacturing (Mfg), services (Svc), or finance (Fin), respectively, and zero otherwise. Population (pop), GDP per capita ($gdppc$), and $distance$ are in logs. Standard errors are clustered at the country-pair level. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

for PE firms (column 2) differ from those for traditional multinational firms. Column 5 reports the regression results with the indicator for whether the acquirer is in the finance industry. Although private equity activity belongs to the financial sector, the coefficients of the interaction terms between the finance-industry indicator and gravity variables that capture geographic and cultural frictions (such as common language, colonial ties, and distance) are not statistically significant. This contrast underscores that PE firms are systematically different from other financial firms in their cross-border M&A strategies.

3.1.2 Results with Institutional Quality

We incorporate measures of institutional quality to further investigate how the acquisition patterns of PE firms differ from those of traditional MNE in the manufacturing and service industries. In particular, we focus on the sensitivity of M&A activity to financial sector advancement. La Porta et al. (1998) document that the quality of law (e.g., bankruptcy law) and its enforcement are key determinants of financial market development. Following this insight, we incorporate two measures into the gravity regressions shown in Table 1: time to resolve insolvency and an indicator of the quality of law. Time to resolve insolvency is defined as the number of years from the filing for insolvency in court until the resolution of distressed assets, while the rule of law indicator captures the quality of contract enforcement, property rights, the police, and the courts. Both variables are obtained from the World Bank Database.

Table 2 shows the results of regressions with the time to resolve insolvency for both acquirer countries $insolvency_i$ and target countries $insolvency_n$. Only the coefficients on $insolvency_i$ and $insolvency_n$ are reported in the table, but all regressions include the full set of variables from Table 1. In column 1, the coefficients of $insolvency_i$ and $insolvency_n$ are negative and statistically significant, which suggests that M&A flows are greater between countries with shorter insolvency resolution periods. In columns 2-5, we include four different industry indicators. We observe that PE and financial firms are more likely to engage in M&A deals in countries with longer insolvency resolution times, while firms in the manufacturing and service industries are less likely to do so. This result may reflect the fact that PE firms, like other financial firms, have superior expertise and capacity in finance and management, which allows them to overcome challenging regulatory environments more effectively than traditional MNE.

Appendix Table A.2 reports the results using the rule of law indicator (the quality of law enforcement), instead of time to resolve insolvency. A longer resolution time reflects

Table 2: Regressions with Time to Resolve Insolvency

	arcsinh(Number of deals)				
	All	PE	Mfg	Svc	Fin
	(1)	(2)	(3)	(4)	(5)
$insolvency_i$	-0.055*** (0.003)	-0.063*** (0.004)	-0.047*** (0.003)	-0.049*** (0.003)	-0.060*** (0.004)
$insolvency_n$	-0.023*** (0.003)	-0.026*** (0.004)	-0.019*** (0.003)	-0.021*** (0.003)	-0.027*** (0.004)
$insolvency_i \times industry_f$		0.034*** (0.003)	-0.030*** (0.003)	-0.024*** (0.003)	0.019*** (0.002)
$insolvency_n \times industry_f$		0.011*** (0.003)	-0.016*** (0.003)	-0.009*** (0.003)	0.015*** (0.002)
N	64,000	64,000	64,000	64,000	64,000

Notes: The dependent variable is the arcsinh transformation of the number of cross-border M&A deals. Only the coefficients on $insolvency_i$ and $insolvency_n$ are reported in the table, but all regressions include the full set of variables from Table 1. Industry indicators, $industry_f$, equal one if the acquirer belongs to private equity (PE), manufacturing (Mfg), services (Svc), or finance (Fin), respectively, and zero otherwise. Standard errors are clustered at the country-pair level. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

higher legal and administrative costs, as well as lower-quality bankruptcy proceedings. As expected, the regression results show that the coefficient of the rule of law indicator has the opposite sign compared to that of insolvency resolution time. PE firms are more likely to acquire in countries with a weaker rule of law, whereas manufacturing and service firms are less likely to do so.

3.2 Aggregation by Target Industry and Country

We further analyze cross-border M&A data by focusing on the industries of target firms. Specifically, we aggregate M&A deals by the target's country, the target's NAICS 4-digit industry, and the acquirer's four main industries (PE, manufacturing, service, and finance). We count the number of deals for each cell and merge the aggregate data with industry-level variables capturing the intensity of intangible capital and asset tangibility. We compute the NAICS 4-digit average amount of intangible capital relative to sales (which we refer to as intangible intensity) and the average amount of net property, plant, and equipment relative

to total assets (which we refer to as asset tangibility) using the Compustat database. The amount of intangible capital is measured following Peters and Taylor (2017) and Ewens et al. (2025). It is defined as the sum of organizational capital (the cumulative stock of sales, general, and administrative expenses) and knowledge capital (the cumulative stock of R&D expenditures). We also construct industry-level intensities of organizational and knowledge capital, measured as their shares in sales. Appendix A.1 reports the summary statistics for the industry variables.

Similarly to the previous aggregation, we create a balanced panel dataset. The data cover 195 NAICS 4-digit target industries and 142 target countries. We apply the inverse hyperbolic sine (arcsinh) transformation to the number of investments to address the prevalence of zero values.¹¹ We run the following regression for target industry t , target country n , and acquirer industry type f :

$$N_{tnf} = \gamma X_t + \theta(X_t \times industry_f) + FE_n + \epsilon_{tnf},$$

where N_{tnf} is the arcsinh-transformed number of deals, γ and θ are coefficients, X_t denotes target industry indicators, such as intangible intensity. We include target-country fixed effects FE_n , and $industry_f$ is an indicator for whether the acquirer industry belongs to PE, manufacturing, service, or finance. Our coefficient of interest is θ , which captures how the effect of industry characteristics differs for a given acquirer type (e.g., PE) relative to other types (e.g., manufacturing, services, and finance).

3.2.1 Results with Target-Industry Intangible Intensity

Column 1 of Table 3 reports regression results including the target industry’s intangible intensity and an indicator for whether the acquirer is a PE firm. The negative and significant coefficient on the interaction term, $intangibles_t \times industry_f$, suggests that PE acquirers are more likely than other firms to invest in targets in less intangible-intensive industries for the average country in the sample.

Most intangible assets are created in high-income countries. To control for the supply of intangible assets, we interact the measure of an industry’s intangibility with the logarithm of a country’s GDP per capita. We then introduce a triple interaction term to explore whether PE firms are more or less attracted to developed countries in intangible industries. The results are shown in column 2 of Table 3. The positive coefficient on the interaction

¹¹For example, only 7% of cells for PE acquirers and 19% of cells for service acquirers contain a positive number of deals.

Table 3: Regressions with Intangible Capital Intensity

	arcsinh(Number of deals)							
	PE		Mfg		Svc		Fin	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
$intangibles_t$	0.367*** (0.102)	-2.725*** (0.516)	0.340*** (0.097)	-1.550*** (0.528)	0.198** (0.081)	-1.071** (0.504)	0.354*** (0.102)	-2.960*** (0.519)
$intangibles_t \times industry_f$	-0.152** (0.060)	2.594*** (0.203)	-0.269 (0.195)	-2.108*** (0.528)	0.522** (0.184)	-4.020*** (0.451)	-0.101 (0.094)	3.533*** (0.323)
$industry_f$	-0.107*** (0.014)	-0.107*** (0.014)	0.165*** (0.041)	0.165*** (0.041)	0.055 (0.036)	0.055 (0.036)	-0.112*** (0.022)	-0.112*** (0.022)
$intangibles_t \times gdppc_n$		0.339*** (0.067)		0.214*** (0.067)		0.139** (0.063)		0.364*** (0.068)
$intangibles_t \times gdppc_n \times industry_f$		-0.301*** (0.024)		0.202*** (0.068)		0.498*** (0.063)		-0.399*** (0.037)
Target Country FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	110,760	110,760	110,760	110,760	110,760	110,760	110,760	110,760

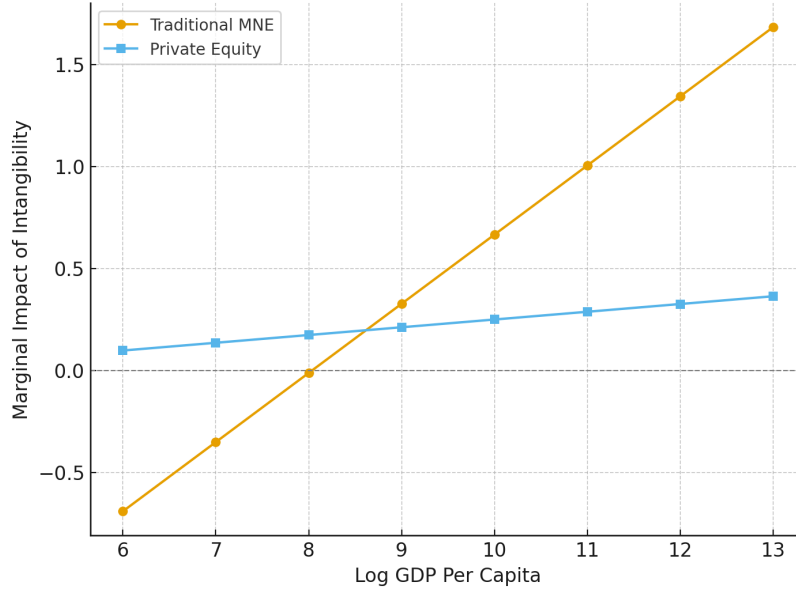
Notes: The dependent variable is the arcsinh transformation of the number of cross-border M&A deals. $intangibles_t$ is the target industry's intangible intensity, measured as the average intangibles-to-sales ratio, and $gdppc_n$ is GDP per capita of the target country. Industry indicators, $industry_f$, equal one if the acquirer belongs to private equity (PE), manufacturing (Mfg), services (Svc), or finance (Fin), respectively, and zero otherwise. Standard errors are clustered at the target industry level. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

with GDP per capita, $intangibles_t \times gdppc_n$, is consistent with our conjecture that rich countries are abundant in intangible assets. The negative and significant coefficient of the triple interaction term, $intangibles_t \times gdppc_n \times industry_f$, indicates that PE acquirers tend to invest in less intangible-intensive industries even within developed countries (i.e., countries with higher GDP per capita).

To better interpret the full set of coefficients in column 2, it is helpful to consider the derivative of the conditional expectation function with respect to an industry's intangibility and plot this outcome against GDP per capita for traditional MNE and PE firms. The result is shown in Figure 2. The figure shows that, for traditional MNE, an increase in an industry's intangibility leads to a decrease in acquisitions in countries that have no comparative advantage in developing intangible assets and a powerful increase in countries that do. PE firms weakly increase their purchases of local firms as industry intangibility increases, but comparative advantage in developing intangible assets appears to have very limited impact.

As shown in columns 4 and 6, manufacturing and service acquirers exhibit the opposite pattern from PE firms: the coefficient of the triple interaction term is positive and significant. Those traditional MNE are more likely to invest in intangible-intensive industries

Figure 2: Marginal Impact of Intangibility and GDP Per Capita: PE vs. Traditional MNE



Notes: This figure shows the marginal impact of the target-industry intangible intensity as a function of the target country's GDP per capita. The conditional expectation function with respect to intangible intensity using the regression result in column 2 of Table 3.

within developed economies. For robustness, we also run regressions separately using the two components of intangible capital—organizational capital and knowledge capital—and find similar patterns (Appendix Tables A.3 and A.4).

3.2.2 Results with Target-Industry Asset Tangibility

Building on the results with the target industry intangible intensity, we next run regressions using asset tangibility. PE acquisitions are typically debt-financed, with tangible assets (plants, equipment, and real estate) serving as collateral, whereas intangible assets cannot. Column 1 of Table 4 shows that the coefficient on the interaction term, $tangible_t \times industry_f$, is positive and significant, suggesting that PE acquirers are more likely to acquire targets in asset-tangible industries.

In column 2, we turn to a specification that adds interactions between asset tangibility, GDP per capita, and the PE dummy. We interpret the asset tangibility interacted with GDP per capita as a measure of comparative disadvantage. This interpretation is consistent with the negative coefficient on this variable across specifications in Table 3. However, the negative and significant coefficient on the triple interaction term in column 2 indicates that this preference is less pronounced, particularly when PE firms invest in developed countries.

Table 4: Regressions with Asset Tangibility

	arcsinh(Number of deals)							
	PE		Mfg		Svc		Fin	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
$tangible_t$	-0.301*** (0.067)	1.127*** (0.323)	-0.266*** (0.078)	2.066*** (0.367)	-0.217*** (0.052)	2.271*** (0.351)	-0.232*** (0.062)	0.941*** (0.326)
$tangible_t \times industry_f$	0.189*** (0.039)	1.897*** (0.169)	0.049 (0.130)	-1.859*** (0.407)	-0.148 (0.124)	-2.679*** (0.299)	-0.090 (0.119)	2.641*** (0.252)
$industry_f$	-0.190*** (0.015)	-0.190*** (0.015)	0.095** (0.045)	0.095** (0.045)	0.204*** (0.043)	0.204*** (0.043)	-0.109** (0.046)	-0.109** (0.046)
$tangible_t \times gdppc_n$		-0.157*** (0.042)		-0.256*** (0.047)		-0.273*** (0.042)		-0.129*** (0.042)
$tangible_t \times gdppc_n \times industry_f$		-0.187*** (0.018)		0.209*** (0.049)		0.278*** (0.033)		-0.300*** (0.026)
Target Country FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	110,760	110,760	110,760	110,760	110,760	110,760	110,760	110,760

Notes: The dependent variable is the arcsinh transformation of the number of cross-border M&A deals. $tangibles_t$ is the target industry's asset tangibility, measured as the average net property, plant, and equipment-to-total asset ratio, and $gdppc_n$ is GDP per capita of the target country. Industry indicators, $industry_f$, equal one if the acquirer belongs to private equity (PE), manufacturing (Mfg), services (Svc), or finance (Fin), respectively, and zero otherwise. Standard errors are clustered at the target industry level. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

PE firms are more aggressive in purchasing targets in tangible asset intensive industries and that are located in developing countries. In contrast, acquirers in the manufacturing and service sectors exhibit different preferences: as shown in columns 4 and 6, they are more likely to acquire asset-tangible (mature) firms in developed countries (in columns 4 and 6).

4 A Structural Model of Gravity

In this section, we develop a simple model in which heterogeneous firms bid for control of assets that are spread across the globe. A key feature of firm heterogeneity is in the management structure of the potential management team that can either be a traditional firm or a private equity firm. Countries differ in terms of the number and composition of their management teams and in terms of the number of businesses that are for sale in the market for corporate control. The simple model will help us to interpret our existing results and provide guidance as to how to best bring the model to the data.

4.1 Model Features

There are two types of firms indexed by $f \in \{T, P\}$ where T stands for traditional MNE and P stands for private equity. Country i is endowed with m_i^f firms of type f . In target country n , there are two types of targets $t \in \{H, L\}$ where H stands for high intangibility and L stands for low intangibility. Country n 's endowment of targets is given by K_n^t .

We follow Head and Ries (2008) in assuming that the ultimate owner of a firm depends on a random ability to manage it, the number of managers by country, and management frictions between countries. First, let the cumulative density of the ability of a firm from i of type f to manage a target of type t be distributed Gumbel (type I extreme value) by

$$\exp(-\exp(x - \mu_i^{ft})/\sigma).$$

Next, assume that the ability of a firm of type f from i to manage targets in n be a function r^f of a vector of distance measures $\mathbf{D}_{in}^t$. Note that the distance measures are meant to capture difficulties of remote management. To this end, the distance measures include target country characteristics such as the quality of bankruptcy procedures. We will discuss the challenges of identifying the effects of these country characteristics below.

Straightforward calculation delivers the share of targets of type t in country n that are acquired by firms of type f from country i as

$$\pi_{in}^{ft} = \frac{\exp\left(\mu_i^{ft}/\sigma + \ln m_i^f - r^f(\mathbf{D}_{in}^t)/\sigma\right)}{\sum_f \sum_j \exp\left(\mu_j^{ft}/\sigma + \ln m_j^f - r^f(\mathbf{D}_{jn}^t)/\sigma\right)}. \quad (1)$$

Note that we have allowed the acquirer type to matter in two respects. First, we are allowing firms of different types and from different countries to have competitive advantages in managing types of assets as captured by μ_i^{ft} and by the function $r^f(\mathbf{D}_{in}^t)$. This is consistent with our initial results, which show PE firms concentrate on acquiring targets in tangible asset heavy industries while traditional MNE concentrate on intangible capital intensive industries. Second, the function mapping gravity variables into takeovers depends on the firm type. This captures systematic differences in the firm types with respect to overcoming geographic, linguistic, and institutional differences between firm types. Our initial results suggest that PE firms are much less subject to gravity than our traditional MNE, and this is consistent with the function r^f to differ substantially by firm type. Moreover, PE firms are less deterred by difficult institutional environments than traditional MNE.

The expected volume of acquisitions, F_{in}^{ft} , by firms of type f from i of firms in country

n of type t is then

$$E \left[F_{in}^{ft} \right] = \exp \left(\underbrace{\mu_i^{ft}/\sigma + \ln m_i^f}_{FE_{fit}} + \underbrace{\ln K_n^t - \ln B_n^t}_{FE_{tn}} - r^f(\mathbf{D}_{jn}^t)/\sigma \right), \quad (2)$$

where “Bid competition” for type t assets in country n is

$$B_n^t = \sum_f \sum_j \exp \left(\mu_j^{ft}/\sigma + \ln m_j^f - r^f(\mathbf{D}_{jn}^t)/\sigma \right). \quad (3)$$

We now turn to our strategy for estimating our model of the global market for corporate control.

4.2 Estimation

Before estimation, we will use industry level measures of the importance of asset intangibility to identify the industries that intangible asset intensive ($t = H$). The constructed data will thus be the number of countries squared multiplied by two for each target type.¹²

The first step of the analysis of structural gravity is to parameterize the components of equation (2). To this end, we assume that $r^f(\mathbf{D}_{jn}^t)$ is linear in standard gravity variables that vary across acquiring and target country pairs. In addition, we include in this set of variables target country features such as the quality of a country’s bankruptcy procedures, as these are frictions that some firms are more adept at overcoming. Finally, we also allow for slope heterogeneity in the relationship such that

$$\begin{aligned} r^f(\mathbf{D}_{jn}^t) &= \Theta' \mathbf{D}_{jn}^t + \Delta' \mathbf{D}_{jn}^t \times [1|f = PE] + \Psi' \mathbf{D}_{jn}^t \times [1|t = H] \\ &\quad + \rho [1|f = PE] + \phi [1|t = H], \end{aligned}$$

where Θ , Δ , and Ψ are vectors of coefficients; $[1|f = PE]$ is an indicator variable if the acquirer is a PE firm with coefficient ρ ; and $[1|t = H]$ is an indicator variable for the target is in an intangible intensive industry with coefficient ϕ .

Estimation occurs in two stages. In the first stage, we estimate the properly parameterized equation (2) with fixed effects by acquirer-type, acquirer-country, target-type (FE_{fit}) and target-type, target-country fixed effects (FE_{tn}) via Poisson regression. This will provide

¹²To improve the sharpness of our estimation of cross-country frictions, we plan to expand our dataset to include purely domestic M&A again, broken down into firms that are in the private equity industry and those that are not.

consistent estimates of Θ and Ψ . Not all components of Θ can be estimated at this stage because some components of the effect of country institutions will be collinear with FE_{tn} , but the differential impact of country institutions on PE firms can be identified at this stage.

At this stage, we are chiefly interested in the estimated coefficients $\hat{\Delta}$ that determine the extent to which private equity firms have an informational and organizational advantage in managing firms in more remote environments. Our existing exploratory analysis suggests that these advantages are substantial. Another model element that can be recovered from the first stage analysis is the supply of targets of different types by country. To see this, note that by using the fixed effects $\widehat{FE}_{fit}$, $r^f(\widehat{\mathbf{D}}_{jn}^t)$, and our estimate of $B_n^t(\widehat{FE}_{tn})$ we can recover estimates of the target country n 's supply of assets of type t , $\widehat{K}_n^t$. This estimate is of direct interest to the literature on foreign direct investment as it will shed light on why cross-border acquisitions are so rare into developing countries.

In the second stage, we explore country and industry heterogeneity with respect to acquirers and targets. To understand which countries have an advantage as the source of traditional and private equity MNEs, we will regress the estimates $\widehat{FE}_{fit}$ on country characteristics. This analysis will help us to understand, among other things, where private equity firms thrive and where their competitive advantages lie in taking over assets of different types of targets. Our preliminary analysis suggests that these firms are particularly able to restructure relatively less intangible intensive firms.

To understand the cross-country structure of target locations, we will carry out a similar second stage regression of our estimate $\widehat{K}_n^t$ on country characteristics. Here, we can disentangle whether PE firm investment into developing countries reflects a particular advantage in taking over less intangible intensive firms that tend to be in relatively great supply in developing countries from features of geography that PE firms are relatively adept at overcoming. This is to be obtained by including institutional measures in the regression of $\widehat{K}_n^t$ on country characteristics.

The world has changed dramatically over the last twenty-five years with the relative rise of the East and decline of the West. To explore how these changes have affected global patterns of M&A we will break out the sample into pre- and post-great recession. Doing so will allow us to assess whether countries such as the U.S. are becoming less adept at developing and deploying intangible assets and are growing more narrowly focused on managing assets developed by others.

5 Structural Estimates

This section will be completed by November 14, 2025.

6 Conclusion

This paper has documented and analyzed the distinctive role of PE firms in the global market for corporate control. Using comprehensive cross-border M&A data, we show that the investment behavior of PE firms differs systematically from that of traditional MNE. While traditional MNE acquisitions follow gravity patterns, PE firms display much weaker sensitivity to gravity variables. In particular, PE firms tend to invest in countries that traditional MNE typically avoid, such as low-income and geographically and culturally distant countries, as well as those with a longer insolvency resolution time and a weaker rule of law. We also find differences across target industries: PE firms are more likely to invest in less intangible-intensive industries, and this tendency has not been affected much by the target country’s level of development. By contrast, traditional MNE acquisitions are closely tied to the redeployment of intangible assets and are concentrated in intangible-intensive industries in developed countries.

To interpret these empirical patterns, we extend the structural gravity framework of Head and Ries (2008) to allow for heterogeneous managerial capabilities across firm types. The framework highlights how PE firms and traditional MNE have distinct comparative advantages in managing different types of assets—low- versus high-intangible-intensive targets—and how gravity variables such as geography, language, and institutional quality shape these comparative advantages to differing degrees.

Future work will estimate the structural gravity equation to identify the extent of PE firms’ informational and organizational advantages in managing targets located in more distant and institutionally challenging environments. Estimation results will help understand the mechanisms that lead PE firms to invest in less intangible-intensive industries, even in less developed economies.

References

- Baziki, Selva Bahar, Pehr-Johan Norbäck, Lars Persson, and Joacim Tåg (2017). “Cross-border Acquisitions and Restructuring: Multinational Enterprises and Private Equity-Firms.” *European Economic Review* 94, 166–184.
- Blonigen, Bruce A, Lionel Fontagné, Nicholas Sly, and Farid Toubal (2014). “Cherries for Sale: The Incidence and Timing of Cross-border M&A.” *Journal of International Economics* 94(2), 341–357.
- Bloom, Nicholas, Raffaella Sadun, and John Van Reenen (2015). “Do Private Equity Owned Firms Have Better Management Practices?” *American Economic Review: Papers Proceedings* 105(5), 442–446.
- Bloom, Nicholas and John Van Reenen (2007). “Measuring and Explaining Management Practices Across Firms and Countries.” *The Quarterly Journal of Economics* 122(4), 1351–1408.
- Bradley, Sebastien, Federico Carril-Caccia, and Yoto. V. Yotov (2023). “Reassessing the Effects of Corporate Income Taxes on Mergers and Acquisitions Using Empirical Advances in the Gravity Literature.” *CESifo Working Paper No. 10863*.
- Davis, Steven J, John Haltiwanger, Kyle Handley, Ron Jarmin, Josh Lerner, and Javier Miranda (2014). “Private Equity, Jobs, and Productivity.” *American Economic Review* 104(12), 3956–3990.
- Ewens, Michael, Ryan H Peters, and Sean Wang (2025). “Measuring Intangible Capital with Market Prices.” *Management Science* 71(1), 407–427.
- Guadalupe, Maria, Olga Kuzmina, and Catherine Thomas (2012). “Innovation and Foreign Ownership.” *American Economic Review* 102(7), 3594–3627.
- Guadalupe, Maria, Veronica Rappoport, Bernard Salanie, and Catherine Thomas (2024). “The Perfect Match: Assortative Matching in Mergers and Acquisitions.” *CEP discussion paper, CEPDP2057*.
- Head, Keith and John Ries (2008). “FDI as an Outcome of the Market for Corporate Control: Theory and Evidence.” *Journal of International Economics* 74(1), 2–20.
- Herkenhoff, Kyle F, Josh Lerner, Gordon M Phillips, Francisca Rebelo, and Benjamin Sampson (2025). “Private Equity and Workers: Modeling and Measuring Monopsony, Implicit Contracts, and Efficient Reallocation.” *NBER Working Paper* 33942.
- Hines Jr, James R and Eric M Rice (1994). “Fiscal Paradise: Foreign Tax Havens and American Business.” *The Quarterly Journal of Economics* 109(1), 149–182.

- Hymer, Stephen H (1960). “The International Operations of National Firms, a Study of Direct Foreign Investment.” PhD thesis. Massachusetts Institute of Technology.
- La Porta, Rafael, Florencio Lopez-de-Silanes, Andrei Shleifer, and Robert W Vishny (1998). “Law and Finance.” *Journal of Political Economy* 106(6), 1113–1155.
- Nocke, Volker and Stephen Yeaple (2007). “Cross-border Mergers and Acquisitions vs. Greenfield Foreign Direct Investment: The Role of Firm Heterogeneity.” *Journal of International Economics* 72(2), 336–365.
- (2008). “An Assignment Theory of Foreign Direct Investment.” *The Review of Economic Studies* 75(2), 529–557.
- Peters, Ryan H and Lucian A Taylor (2017). “Intangible Capital and the Investment-q Relation.” *Journal of Financial Economics* 123(2), 251–272.
- Takayama, Haruka (2024). “Greenfield or Brownfield? FDI Entry Mode and Intangible Capital.” Working Paper.
- Tørsløv, Thomas, Ludvig Wier, and Gabriel Zucman (2023). “The Missing Profits of Nations.” *The Review of Economic Studies* 90(3), 1499–1534.

Appendix A Appendix Tables

Table A.1: Summary Statistics

Variable	Mean	Std. dev.	Median
Number of deals	1.12	24.084	0
<i>Country variables</i>			
Population (in mil)	2.472	1.606	2.390
GDP per capita	9.111	1.147	9.147
Language	0.104	0.305	0
Colonial	0.007	0.081	0
Distance	8.658	0.777	8.805
Time to resolve insolvency	2.678	1.151	2.500
Rule of Law	-0.180	0.918	-0.410
<i>Industry variables</i>			
Intangible intensity	0.211	0.148	0.179
Asset tangibility	0.266	0.174	0.229

Notes: This table reports summary statistics for the variables used in the regressions. Population, GDP per capita, and distance are in logs. Rule of Law ranges from -2.5 (lowest) to 2.5 (highest). Intangible intensity is measured as the industry average of intangible capital relative to sales, and asset tangibility is measured as the industry average of net property, plant, and equipment relative to total assets.

Table A.2: Regressions with the Rule of Law

	arcsinh(Number of deals)				
	All	PE	Mfg	Svc	Fin
	(1)	(2)	(3)	(4)	(5)
Law_i	0.164*** (0.006)	0.192*** (0.007)	0.141*** (0.006)	0.138*** (0.006)	0.183*** (0.007)
Law_n	0.100*** (0.006)	0.115*** (0.006)	0.087*** (0.005)	0.087*** (0.005)	0.112*** (0.006)
$Law_i \times industry_f$		-0.113*** (0.005)	0.090*** (0.005)	0.102*** (0.005)	-0.079*** (0.004)
$Law_n \times industry_f$		-0.059*** (0.004)	0.050*** (0.004)	0.055*** (0.004)	-0.046*** (0.004)
N	78,952	78,952	78,952	78,952	78,952

Notes: The dependent variable is the arcsinh transformation of the number of cross-border M&A deals. Only the coefficients on the rule of law indicator for the acquirer country, Law_i , and for the target country, Law_n , are reported in the table, but all regressions include the full set of variables from Table 1. Industry indicators, $industry_f$, equal one if the acquirer belongs to private equity (PE), manufacturing (Mfg), services (Svc), or finance (Fin), respectively, and zero otherwise. Standard errors are clustered at the country-pair level. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table A.3: Regressions with Organizational Capital Intensity

	arcsinh(Number of deals)							
	PE		Mfg		Svc		Fin	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
$orgcapital_t$	0.350*** (0.126)	-2.691*** (0.644)	0.462*** (0.120)	-1.369* (0.648)	0.148 (0.098)	-0.779 (0.615)	0.318*** (0.123)	-2.959*** (0.646)
$orgcapital_t \times industry_f$	-0.124* (0.074)	2.966*** (0.224)	-0.571** (0.215)	-2.322*** (0.590)	0.687*** (0.213)	-4.681*** (0.496)	-0.008 (0.124)	4.037*** (0.365)
$industry_f$	-0.116*** (0.015)	-0.116*** (0.015)	0.216*** (0.042)	0.216*** (0.042)	0.034 (0.037)	0.034 (0.037)	-0.135*** (0.022)	-0.135*** (0.022)
$orgcapital_t \times gdppc_n$		0.334*** (0.084)		0.201** (0.082)		0.102 (0.077)		0.360*** (0.084)
$orgcapital_t \times gdppc_n \times industry_f$		-0.339*** (0.028)		0.192*** (0.075)		0.589*** (0.070)		-0.442*** (0.043)
Target Country FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	110,760	110,760	110,760	110,760	124,020	110,760	110,760	110,760

Notes: The dependent variable is the arcsinh transformation of the number of cross-border M&A deals. $orgcapital_t$ is the target industry's organizational capital intensity, measured as the industry average of organizational capital relative to sales, and $gdppc_n$ is GDP per capita of the target country. Industry indicators, $industry_f$, equal one if the acquirer belongs to private equity (PE), manufacturing (Mfg), services (Svc), or finance (Fin), respectively, and zero otherwise. Standard errors are clustered at the target industry level. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table A.4: Regressions with Knowledge Capital Intensity

	arcsinh(Number of deals)							
	PE		Mfg		Svc		Fin	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
$knowcapital_t$	1.247*** (0.309)	-9.419*** (1.744)	0.800** (0.313)	-4.521** (1.685)	0.946*** (0.251)	-4.811*** (1.478)	1.338*** (0.310)	-10.362*** (1.835)
$knowcapital_t \times industry_f$	-0.658*** (0.167)	8.563*** (1.222)	1.130* (0.663)	-11.028*** (3.237)	0.547 (0.640)	-9.868*** (2.518)	-1.019*** (0.228)	12.334*** (1.801)
$industry_f$	-0.126*** (0.008)	-0.1256*** (0.008)	0.084*** (0.024)	0.084*** (0.024)	0.153*** (0.022)	0.153*** (0.022)	-0.112*** (0.018)	-0.112*** (0.018)
$knowcapital_t \times gdppc_n$		1.171*** (0.223)		0.584** (0.218)		0.632*** (0.187)		1.284*** (0.233)
$knowcapital_t \times gdppc_n \times industry_f$		-0.940*** (0.142)		1.334*** (0.418)		1.143** (0.336)		-1.466*** (0.210)
Target Country FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	110,760	110,760	110,760	110,760	110,760	110,760	110,760	110,760

Notes: The dependent variable is the arcsinh transformation of the number of cross-border M&A deals. $knowcapital_t$ is the target industry's knowledge capital intensity, measured as the industry average of knowledge capital relative to sales, and $gdppc_n$ is GDP per capita of the target country. Industry indicators, $industry_f$, equal one if the acquirer belongs to private equity (PE), manufacturing (Mfg), services (Svc), or finance (Fin), respectively, and zero otherwise. Standard errors are clustered at the target industry level. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.